



Pharmacy Claims Purchasing Program

PROBLEMS W/ WORKER'S COMPENSATION

- Workers' compensation patients are often denied medications based on the status of their claims.
- Pharmacies are often reluctant to fill these medications due to risk of not collecting on the claim.
- Insurance companies are quick to approve low-cost opioids but will often deny non-opioid alternatives due to higher costs.

FACTORS

1. ACCESS TO MEDICATIONS

- Approximately **30%** of workers compensation patients have trouble obtaining their medications from traditional pharmacies

2. OPIOID EPIDEMIC

- Annual deaths from opioid overdoses doubled from 2010 to 2016.
- While overdose deaths and costs have increased, insurance companies still heavily challenge the use of alternatives.

3. INSURANCE INDUSTRY

- If a patient's claim is in litigation, they will experience some level of difficulty obtaining their medications.
- Insurance companies attempt to control what a physician can and cannot prescribe, thereby negatively impacting patient care.

BY THE NUMBERS

130

Americans die every day from an opioid overdose (2)

47,736

Number of overdose deaths involving opioids (2)

9.6%

Increase in overdose deaths from 2016 to 2017 (1)

23 Million

people have admitted to abusing prescription medication (1)

1. Wide-ranging online data for epidemiologic research (WONDER). Atlanta, GA: CDC, National Center for Health Statistics; 2017. Available at <http://wonder.cdc.gov>.

2. <https://www.cdc.gov/drugoverdose/epidemic/index.html>

TRADITIONAL SOLUTIONS

In-office Dispensing (IOD)

100% of patients receive their medications, however...

Traditional solutions have proven to be less than optimal:

IOD

- ✓ Many States have passed legislation to restrict in-office dispensing
- ✓ 7 Day supply limits
- ✓ Limited Formulary
- ✓ Strain on your office staff's time
- ✓ Burden of stocking inventory
- ✓ Billing and collection challenges

MDRx SOLUTION

PHARMACY CLAIMS PURCHASING

Empowers physicians with pharmacy options that *improve patient outcomes* while *generating an ancillary revenue stream* in a compliant manner.

BENEFITS

- ✓ Patients receive their medications **100%** of the time when their claim is open
- ✓ Medications are delivered directly to the patient's home – Improves Compliance
- ✓ No out-of-pocket cost for prescriptions
- ✓ Access to opioid alternatives and/or adjuvant therapies that are not provided by traditional pharmacies

HOW IT WORKS FOR PATIENTS AND YOUR OFFICE

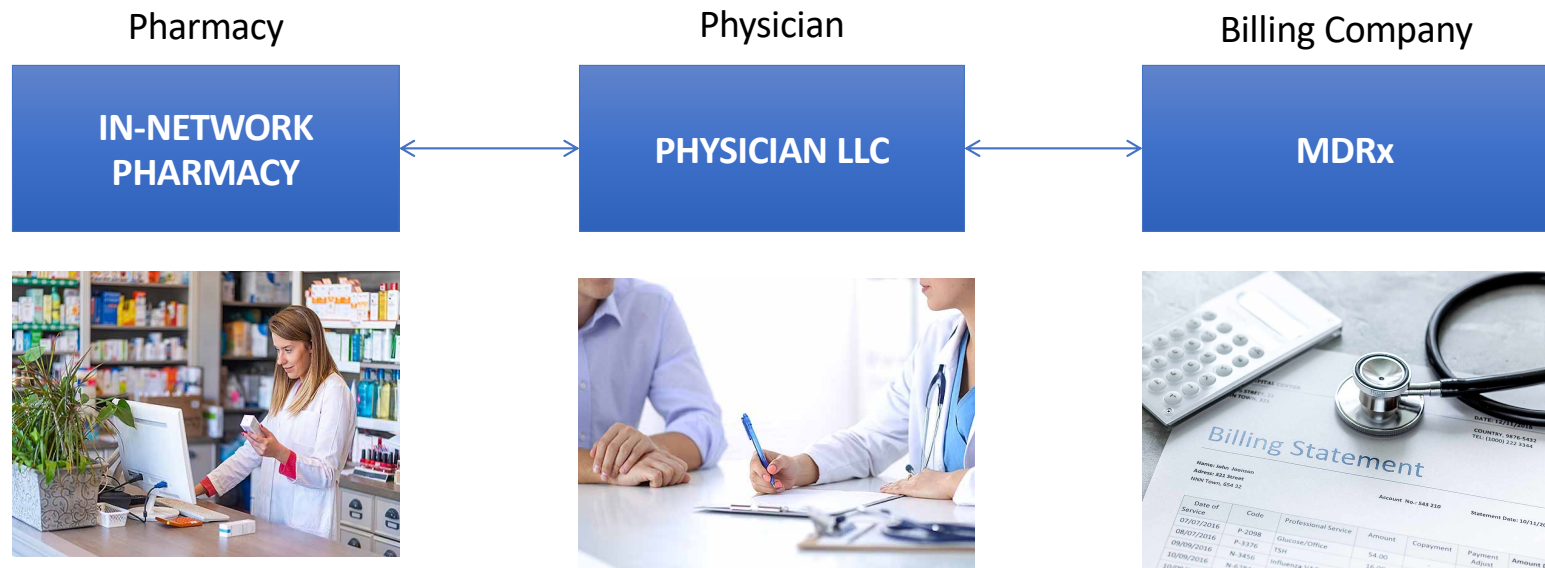
1. Physician sees a work comp patient and writes a prescription

2. Physician or PA/MA sends patient's prescriptions and demographics to the pharmacy thru EHR.

3. Medications are sent directly to the patient's home.

PHARMACY CLAIMS PURCHASING

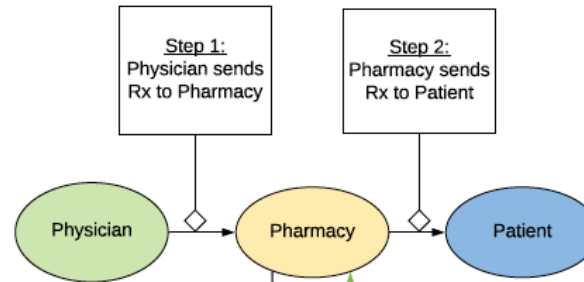
Pharmacy Claims Purchasing involves three parties:



WORKFLOW – NOTHING CHANGES FOR THE PHYSICIAN

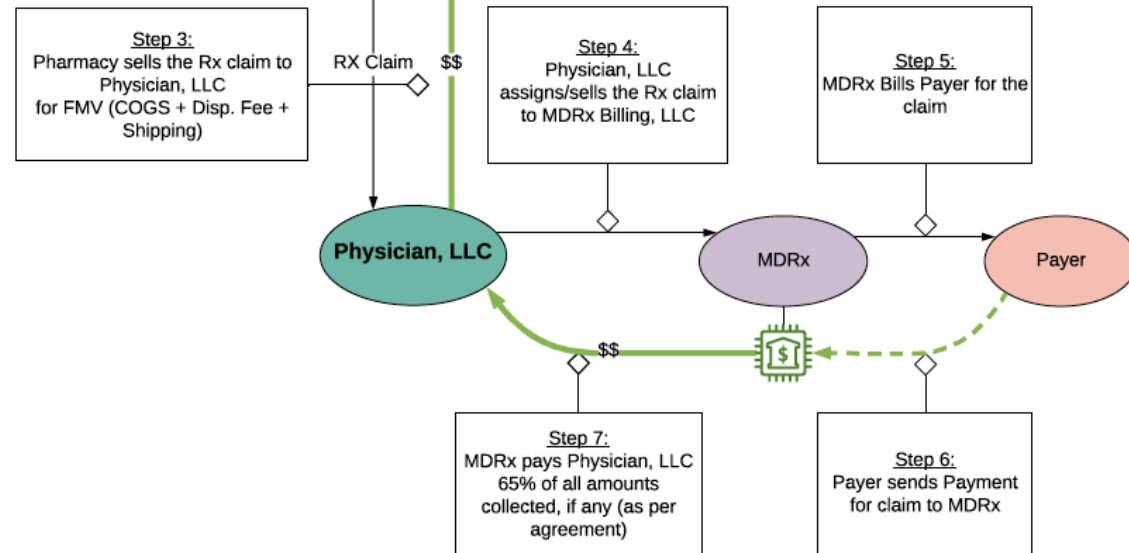
STEPS 1 AND 2

TYPICAL PHYSICIAN
INVOLVEMENT IN
PRESCRIBING A
MEDICATION



STEPS 3 THRU 7

MANAGED BY MDRx



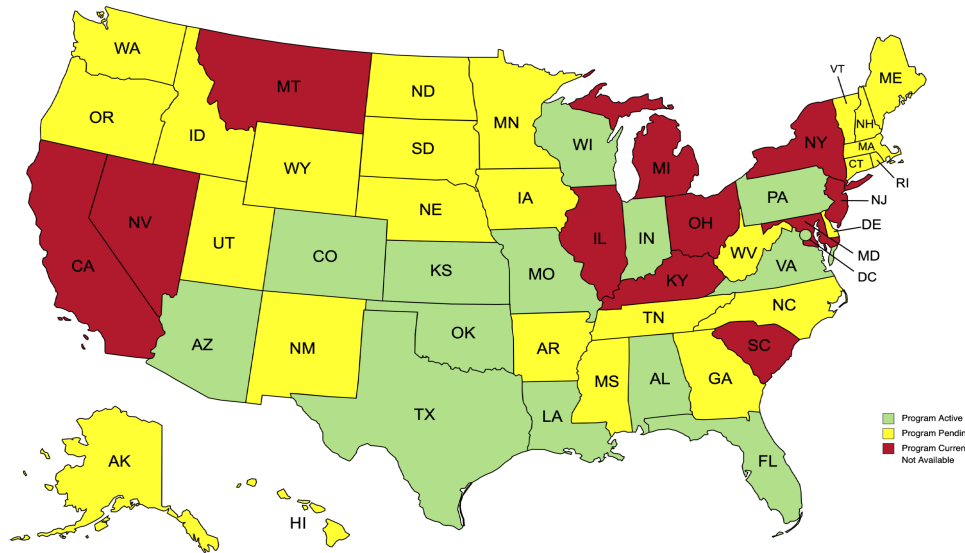
ARRANGEMENT DETAILS

- Physician writes prescriptions for workers' compensation patients and submits to the contracted pharmacy (**Physician will inform the patient of his/her ability to choose a different pharmacy if they would like to do so**).
- For the prescriptions sent to the contracted pharmacy licensed to do business in your state, the pharmacy will dispense those prescriptions to the patients.
- The pharmacy then sells the claims for the prescriptions to Physician, LLC (essentially a "factoring" company) so that the pharmacy can recognize the immediate cash flow.
- Physician, LLC pays the pharmacy Fair Market Value for the claims. **The risk of payment on the claims, from the insurance companies, shifts from the pharmacy to the Physician's LLC.**
- Physician, LLC then assigns the claims to MDRx, who in turn bills the payors.
- MDRx will remit to Physician, LLC a percentage of the payment received from workers' compensation / auto insurance companies.
- Physician, LLC assumes the risk of non-payment associated with the claims purchased from the pharmacy, but accepts that risk in return for ensuring workers' compensation patients receive their medications.
- Note: MDRx has no financial interest in the pharmacy or the Physician's LLC.**

MDRx STATE MAP

MDRx is currently operating in 15 states, and will be expanding into new states soon

MDRx works with some of the top healthcare law firms in the country to provide legal review in each state



Program Active
Program Pending
Program Currently
Not Available

